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**Dr. Trading and Profit and Loss Account for the year ended 31st March, 2016 Cr.**

| Particulars | ` | ` | Particulars | ` | ` |
|---|---|---|---|---|---|
| To Opening Stock | | 15,000 | By Sales | 1,24,000 | |
| To Purchases | 40,000 | | Less: Sales returns | 2,000 | 1,22,000 |
| Less: Returns outward | 1,000 | 39,000 | By Closing stock | | 8,000 |
| To Carriage inwards | | 10,000 | | | |
| To Gross profit c/d | | **66,000** | | | |
| | | 1,30,000 | | | 1,30,000 |
| To Office rent | | 23,000 | By Gross profit b/d | | 66,000 |
| To Provision for bad and doubtful debts (closing) | 400 | | | | |
| Add: Bad debts | 900 | | | | |
| Add: Further bad debts | 100 | | | | |
| | 1,400 | | | | |
| Less: Provision for bad and doubtful debts (opening) | 500 | 900 | | | |
| To Provision for discount on debtors (closing) | 196 | | | | |
| Less: Provision for discount on debtors (opening) | 100 | 96 | | | |
| To Net profit (transferred to capital A/c) | | **42,004** | | | |
| | | 66,000 | | | 66,000 |

**Balance Sheet as on 31st March, 2016**

| Liabilities | ` | ` | Assets | ` | ` |
|---|---|---|---|---|---|
| Capital | 25,000 | | Furniture and fixtures | | 30,000 |
| Add: Net profit | 42,004 | 67,004 | Sundry debtors | 20,100 | |
| Bills payable | | 10,000 | Less: Further bad debts | 100 | |
| | | | | 20,000 | |
| | | | Less: Provision for bad and doubtful debts (20,000 × 2%) | 400 | |
| | | | | 19,600 | |
| | | | Less: Provision for discount (19,600 × 1%) | 196 | 19,404 |
| | | | Stock-in-trade | | 8,000 |
| | | | Cash at bank | | 19,600 |
| | | **77,004** | | | **77,004** |